



The Morning Brief

MAY 22, 2026

Dow's Quiet Record

A narrow, IBM-led advance lifted the Dow to a fresh record as the broad tape shrugged off Iran's hardened nuclear stance, with semiconductor leadership narrowing to the AI-infrastructure complex as Nvidia faded post-print.

S&P 500 (THU)	BRENT (BNO)	BITCOIN (IBIT)	NVDA (THU)	FEAR & GREED
\$742.72 · ↑0.20%	\$55.56 · ↓0.14%	\$44.00 · ↑0.02%	\$219.51 · ↓1.77%	28 · Fear

SECTION 01

Markets — Friday Open

THURSDAY'S MODEST BROAD ADVANCE CARRIED THE DOW TO A FRESH RECORD CLOSE ON A NARROW, IBM-LED MOVE AS CRUDE SPIKED INTRADAY ON IRAN'S HARDENED NUCLEAR STANCE BEFORE FADING INTO THE CLOSE — THE TAPE TURNED GREEN IN THE AFTERNOON AS OIL RETREATED AND VOLATILITY EASED

The IOWN tape posted a modest, uneven advance Thursday that interrupted the prior session's framing without resolving it. The S&P 500 ETF closed at \$742.72 (↑0.20%), the Nasdaq proxy at \$714.51 (↑0.19%), and the rate-sensitive Russell 2000 led the majors at \$282.49 (↑0.94%), while the Dow proxy advanced to \$503.11 (↑0.57%) — per coverage referenced in the data drop and broader reporting, IBM rose sharply on a proposed federal quantum-computing award and helped lift the Dow to its first record close since February. The leadership was narrow rather than broad: a single non-IOWN component drove the record, not participation across the index. Crude spiked intraday after Reuters reported Iran's Supreme Leader directed the country's enriched-uranium stockpile to remain inside Iran — discussed in Section 02 — then gave the move back, with the WTI proxy USO ↓1.20% and the Brent proxy BNO ↓0.14%; per coverage referenced in the data drop, the indexes turned green in the afternoon as oil retreated. UVXY (VIX proxy) eased ↓4.28%. Sector leadership tilted defensive and rate-sensitive: Utilities (XLU ↑1.10%) led all eleven sectors and Technology (XLK ↑0.82%) followed, while Energy (XLE ↓1.12%) was the weakest sector for a second straight session and Staples (XLP ↓1.01%) lagged.

S&P 500 · DOW · NASDAQ	\$742.72 ↑0.20% · \$503.11 ↑0.57% · \$714.51 ↑0.19%
RUSSELL 2000 · VOLATILITY	\$282.49 ↑0.94% · UVXY ↓4.28%
TREASURIES	TLT ↑0.37% to \$84.22 (yields eased modestly)
SECTOR BREADTH	XLU ↑1.10% · XLK ↑0.82% · XLE ↓1.12% (weakest) · XLP ↓1.01%
IOWN TOP MOVERS (THU)	HUT ↑9.07% · SUPV ↑7.32% · CRDO ↑5.69% · QCOM ↑5.38%
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untested (Thu low \$737.03 — roughly 15% above)

NVIDIA EXTENDED ITS POST-PRINT DECLINE WITH A SECOND DOWN SESSION WHILE THE BROADER AI-INFRASTRUCTURE COMPLEX STAYED BID — CONNECTIVITY, FOUNDRY, AND CAPITAL-EQUIPMENT NAMES ADVANCED AS THE ANALOG AND AUTOMOTIVE-SEMICONDUCTOR HOLDINGS EXTENDED THEIR LOSSES, VALIDATING THE IOWN DECISION TO SPREAD THE PHYSICAL-AI THESIS ACROSS LAYERS RATHER THAN THE HEADLINE NAME

Nvidia closed Thursday at \$219.51 (↓1.77%) after an intraday range from \$217.93 to \$227.40 — the regular-session verdict on Wednesday's after-the-close print, which the prior brief flagged as a measured response. Per market commentary, the shares have tended to decline following recent earnings reports even when results topped expectations, and per coverage in the data drop's holdings news CEO Jensen Huang characterized the stock's underperformance as difficult to explain. The notable internal was that the rest of the IOWN AI-infrastructure complex stayed bid: CRDO ↑5.69% to \$193.39, LRCX ↑3.48% to \$302.24, MRVL ↑2.08% to \$190.69 — per coverage referenced in the data drop, its fifteenth record closing high this year — TSM ↑1.38% to \$407.15, and dividend-sleeve holding QCOM ↑5.38% to \$213.41. Against that strength, the analog and automotive-semiconductor names extended losses: ADI ↓3.48% to \$384.21, a second straight decline after Wednesday's earnings

beat, and NXPI ↓3.47% to \$299.38. The bifurcation the prior brief identified has widened into a clearer split — Nvidia and the analog cycle on one side, the connectivity, foundry, and capital-equipment layer on the other — and the IOWN sleeve is deliberately positioned across both.

UTILITIES LED EVERY SECTOR AS THE IOWN POWER SLEEVE CARRIED THURSDAY'S TAPE — VISTRA AND NEXTERA ADVANCED, THE LATTER ON A ROUGHLY \$1.3 BILLION BOLT-ON ACQUISITION — WHILE TREASURY YIELDS EASED MODESTLY AND TODAY'S UNIVERSITY OF MICHIGAN FINAL SENTIMENT READING AND A FED SPEAKER FRAME A LIGHT PRE-HOLIDAY CALENDAR

Utilities (XLU ↑1.10%) led all eleven sectors, and the IOWN power complex carried the move: VST ↑3.53% to \$149.08, NEE ↑1.61% to \$89.69, EIX ↑0.83% to \$70.32, and ATO ↑0.83% to \$177.46. Per the data drop's holdings news, NextEra advanced as it announced a roughly \$1.3 billion Caliber acquisition broadening its energy mix and declared its quarterly dividend — a modest recovery after the deal-size concerns that pressured the shares following the Dominion combination the prior briefs tracked. The power-sleeve leadership sits squarely inside the “physical world matters” thesis: electricity demand from the AI build-out is the through-line connecting VST, NEE, and the utility names to the same data-center capital cycle the semiconductor sleeve depends on. On rates, the long-end Treasury proxy TLT firmed ↑0.37% to \$84.22, easing yields modestly as crude retreated. The calendar is light into the holiday weekend — the University of Michigan's final May sentiment reading lands this morning, expected near 48.2 against a 49.8 preliminary with one-year inflation expectations around 4.5%, alongside the Conference Board Leading Index and a Fed Waller appearance — and no IOWN holdings report earnings today.

Nvidia fell for a second session while the connectivity, foundry, and power layers it anchors all advanced — the clearest validation yet that the physical-AI thesis was built to be owned across the stack, not concentrated in one line. Think Like an Owner.

Geopolitics

THE DE-ESCALATION TRACK THE PRIOR BRIEF TRACKED MET A HARDENING FROM TEHRAN — IRAN'S SUPREME LEADER DIRECTED THE COUNTRY'S STOCKPILE OF NEAR-WEAPONS-GRADE ENRICHED URANIUM TO REMAIN INSIDE IRAN, REJECTING THE OVERSEAS TRANSFER THAT WASHINGTON HAS MADE A CENTRAL DEMAND OF THE PEACE TALKS

The dominant geopolitical development is a hardening rather than a collapse. Per Reuters reporting, Iran's Supreme Leader Mojtaba Khamenei issued a directive Thursday that the country's stockpile of uranium enriched to roughly 60% purity should not be sent abroad — directly challenging one of Washington's central demands in the Pakistan-mediated peace talks, where US officials have insisted the near-weapons-grade material be removed, transferred, or neutralized as part of any agreement. Per the same reporting, Iranian officials view shipping the material out as leaving the country more exposed to future US or Israeli strikes. President Trump responded that the United States intends to see the highly enriched uranium removed regardless, characterizing it as material Washington neither needs nor wants but will not allow Iran to retain, and reiterated that Iran is absorbing heavy economic cost from the US naval posture — which he put at roughly \$500 million a day. Separately, per reporting, the Gulf authority overseeing the strait stated that transit through Hormuz now requires coordination with and authorization from that authority, consistent with the pattern of Iran consolidating control of the waterway the prior brief described. The de-escalation has not reversed, but the gap between the two sides on the nuclear file has visibly widened.

THE MARKET READ THE HARDENING AS NEGOTIATING POSTURE RATHER THAN RE-ESCALATION — CRUDE GAVE BACK ITS INTRADAY SPIKE, THE IOWN ENERGY SLEEVE WAS THE WEAKEST FOR A SECOND SESSION, AND THE WAR-RISK PREMIUM CONTINUED TO UNWIND EVEN AS THE UNDERLYING GEOPOLITICAL RISK WAS NOT RETIRED

The cleanest read on how markets interpreted the hardening is the energy tape. Crude spiked intraday on the uranium headline, then faded — USO ↓1.20% and BNO ↓0.14% — and Energy (XLE ↓1.12%) was the weakest sector for a second straight session. The IOWN energy sleeve gave back broadly: VLO ↓5.00% to \$241.09, CNX ↓2.68% to \$35.55, and CVX ↓0.17% to \$191.01, with OKE the exception at ↑0.51%. That price action suggests the market treated the Supreme Leader's directive as a negotiating posture inside an ongoing talks process rather than a step toward renewed conflict — the same dynamic the prior brief flagged, in which the war-risk premium tends to unwind faster than the geopolitical risk is permanently retired. The energy outlook remains genuinely two-sided: per Reuters-cited analysis, Wood Mackenzie estimates spot Brent could ease toward \$80 by year-end if a deal opens Hormuz by June, while Goldman Sachs has raised its late-2026 Brent forecast to roughly \$90 from \$80, citing more persistent Gulf disruption. For the IOWN energy

positioning — constructed around the physical-supply thesis rather than an escalation path — the near-term pressure is real, but the structural case rests on constrained capacity that a negotiating headline does not resolve. Defense exposure was effectively flat (LMT ↑0.04%, GD ↓0.31%), holding its orthogonal-hedge role; per the data drop's holdings news, Lockheed Martin broke ground on an Alabama munitions facility tied to a \$9 billion US manufacturing plan.

IRAN · NUCLEAR POSTURE	Supreme Leader directs 60%-enriched uranium to stay in Iran per Reuters · rejects overseas transfer
US RESPONSE	Trump says US intends to see the material removed regardless · cites ~\$500M/day cost to Iran
HORMUZ	Transit now requires coordination and authorization from the Gulf strait authority per reporting
CRUDE (THU)	USO ↓1.20% · BNO ↓0.14% · intraday spike faded into the close
IOWN ENERGY SLEEVE (THU)	XLE ↓1.12% (weakest) · VLO ↓5.00% · CNX ↓2.68% · OKE ↑0.51%
BRENT OUTLOOK	~\$80 year-end if Hormuz opens by June per Wood Mackenzie · GS lifts late-2026 view to ~\$90

On Our Radar

1. Nvidia's second straight post-print decline alongside fresh highs across the rest of the AI-infrastructure complex points to a repricing of one stock's positioning rather than a crack in the capital-spending thesis the whole IOWN sleeve depends on.

NVDA closed Thursday at \$219.51 (↓1.77%), extending the modest after-hours dip that followed Wednesday's record print; per market commentary the shares have tended to decline after recent reports even when results beat. Yet CRDO (↑5.69%), LRCX (↑3.48%), MRVL (↑2.08%, a fifteenth record closing high this year per coverage in the data drop), TSM (↑1.38%), and QCOM (↑5.38%) all advanced the same session. If the post-print reaction were a verdict on AI demand, the connectivity, foundry, and capital-equipment names would not be making new highs. The discipline is to read the divergence as a single-name positioning unwind rather than a thesis break — and to treat the IOWN decision to own the build-out across layers as the structural answer to exactly this kind of headline concentration. *Simplicity Over Complexity.*

2. Iran's hardened nuclear stance is the first material test of whether the energy-premium unwind has further to run — and the IOWN energy sleeve's second straight session as the weakest sector suggests the market is treating the Supreme Leader's directive as negotiating posture.

Crude spiked intraday on the uranium headline and gave it all back; XLE (↓1.12%) lagged again, with VLO ↓5.00% the sleeve's notable decliner. The energy outlook is genuinely two-sided — per Reuters-cited analysis, Wood Mackenzie sees Brent easing toward \$80 by year-end if Hormuz opens by June, while Goldman Sachs has lifted its late-2026 Brent view to roughly \$90 on more persistent Gulf disruption. The IOWN sleeve was built on the physical-supply thesis rather than an escalation path; the committee discipline is to separate a war-premium unwind, which is underway, from a structural-supply break, which is not. *Avoid Erosion.*

3. Hut 8's 9.07% surge led every IOWN holding even as the digital-asset ETFs sat flat — the divergence isolates the bitcoin miners' pivot toward AI data-center capacity as a power-and-real-estate story rather than a crypto-beta story.

HUT closed at \$105.26 (↑9.07%) while IBIT (↑0.02%) and ETHA (↑0.06%) were essentially unchanged. The miners increasingly read as a physical-infrastructure trade — power interconnects, land, and cooling repurposed for AI compute — a theme consistent with HUT's recently disclosed Louisiana data-center campus investment. For the IOWN framework the distinction matters: HUT's move belongs to the same physical-AI-power thesis carrying VST and NEE, not to the digital-asset sleeve's beta, where IBIT and ETHA continue to track Bitcoin directly. *Research Reveals Opportunities.*

4. The University of Michigan's final May sentiment reading lands this morning at a deeply depressed level — a direct read on the consumer that bears on the IOWN staples and discretionary exposure.

Per the data drop calendar, the final reading is expected near 48.2, revised down from the 49.8 preliminary, with current conditions near 47.8 and one-year inflation expectations around 4.5%. Sentiment at those levels reflects the cumulative weight of the energy-led inflation backdrop that has run since late February. Staples (XLP ↓1.01%) was among Thursday's weakest sectors and IOWN holdings CHD and CL closed roughly flat — the read-through is that the defensive sleeves are not yet being rewarded as the safe haven the depressed sentiment might imply.

Think Like an Owner.

5. Carson's active SPY support at \$645.80 remains untested into a holiday-shortened week, with Thursday's intraday low at \$737.03 and Fear & Greed stuck at 28 (Fear) despite the Dow's record.

The retracement target Carson set on April 13 is intact — Thursday's S&P 500 ETF low printed \$737.03 per the data drop, leaving the index roughly 15% above the level. The persistent gap between a record-setting Dow and a Fear & Greed reading mired in the high-20s is the same cross-current the prior briefs have flagged: narrow leadership and cautious positioning beneath an advancing index. US markets are closed Monday for Memorial Day, so today sets up a long weekend — the calendar is light, with the University of Michigan final sentiment reading, the Conference Board Leading Index, and a Fed Waller appearance, and no IOWN holdings reporting earnings. **Simplicity Over Complexity.**

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